

Desert View Residencies - 1510 North 48th Street, Phoenix, AZ 85008

Desert View Residencies is a value-add multifamily asset in the high-growth East Phoenix submarket, offering operational and renovation-driven efficiencies, supported by strong in-migration, employment opportunities, and recreational activities.

Investment Summary

- **Business Plan:**
 - Implement operational efficiencies and targeted renovations to increase rent, improve tenant retention, and expand net operating income.
 - Execute value-add program focus on interior upgrades and amenity enhancements to set property in a competitive position in the submarket.
 - Stabilize operations post-renovation to achieve an attractive risk-adjust return at exit, supported by conservative growth assumptions and hold period.
- **Key Bets / Opportunities:**
 - Strong in-migration, expanding workforce, diversified economic base.
 - Close to Biltmore-Camelback financial district and tech infrastructure.
 - Affordability, access to major jobs, strong recreation amenities.
- **Key Risks:**
 - Renovation delays or cost overruns could impact projected rent and NOI.
 - Rising interest rates may pressure financing terms and exit valuations.
 - New multifamily deliveries in Phoenix metro could decrease occupancy.

Illustrative Photos



Capitalization

# of Units	28	
Square Footage	23865	
Hold Period	10	
Purchase Sales Date	Dec-25	Dec-35

Purchase Price	6500000
Closing Costs & Permits	1.50%
Debt Origination Costs	1.25%
Going In Cap Rate	5.25%

Growth Assumptions

Avg. Rent Growth CAGR (10-Year)	5.15%
Other Income Growth	2%
Expense Growth	3%
Tax Growth	3.75%

CapEx Assumptions

Renovation Schedule	4
Total Renovation Expenses	445000
Interior Renovations (per unit)	15893

Returns

Unlevered IRR	11.41%
Levered IRR	16.34%
Unlevered Multiple	2.59x
Levered Multiple	4.27x

Exit Assumptions

Exit Cap Rate	5%
Terminal NOI	637,951
Terminal Value	12,759,013
Cost of Sale	255,180

Queen City Residences

Queen City Residences is a well-located, 25-unit multifamily asset in Charlotte, NC, offering a value-add opportunity through strategic renovations and operational enhancements in a high-growth market.

Investment Summary

- **Business Plan:** Light value-add strategy with interior renovations (\$12.5K/unit) and operational efficiencies to drive rent growth
- **Key Bets / Opportunities:**
 - Transit-Oriented Growth: Proximity to Charlotte’s expanding transit network, including the upcoming Silver Line
 - Upside in Rent Growth: Below-market rents with potential to increase post-renovations
 - Strong Economic Drivers: Strong population growth (+20% last decade), major banking/finance hub, and strong job growth with Fortune 500 employers
- **Key Risks:**
 - Interest Rate Sensitivity: Rising rates could impact exit valuation and financing assumptions
 - Execution Risk: Renovation timeline and lease-up strategy must be well-managed to achieve projections
 - Competitive Market: New supply in Charlotte could impact rent growth and occupancy assumptions

Illustrative Photos



Capitalization

# of Units	25	
Square Footage	24,340	
Hold Period	5	
Purchase Sales Date	Dec-25	Dec-30

Purchase Price	5,500,000
Closing Costs & Permits	2.00%
Debt Origination Costs	1.50%
Going In Cap Rate	3.90%

Growth Assumptions

Avg. Rent Growth CAGR (10-Year)	-
Other Income Growth	1.50%
Expense Growth	2.00%
Tax Growth	1.50%

CapEx Assumptions

Renovation Schedule	2 Years
Total Renovation Expenses	312,500
Interior Renovations (per unit)	12,500

Returns

Unlevered IRR	10.26%
Levered IRR	14.55%
Unlevered Multiple	1.98x
Levered Multiple	2.05x

Exit Assumptions

Exit Cap Rate	5.00%
Terminal NOI	403,147
Terminal Value	8,062,947
Cost of Sale	2.50%